I see this setup a lot. Price moves up, goes horizontal, and then a chart pattern appears (which can be any bullish pattern, like head-and-shoulders bottom, double bottom, or triple bottom). The pattern confirms as valid and price rises some before reversing and heading lower. The pattern busts its upward breakout, handing bulls a loss.

Just recognizing the double bottom (DE) as a tradable pattern isn't enough. If you research the setup by looking at other charts, you'll see how this setup can lead to a failure of a chart pattern.

This (the double bottom, or head-and-shoulders, or any bullish pattern at the end of the horizontal top) is a setup you'll want to avoid.

Pothole Setup

Figure 1.6 shows a rare setup on the weekly chart, but it's a variation of the pattern shown in the prior figure.

Figure 1.6 A pothole setup happens after a drop and flat base.

The company runs into trouble that lasts for the long term (months). That trouble takes price down from A to bottom at B. At B, the bears want to see the stock continue to drop, but bottom fishers like me see a good value. Buying demand keeps the stock from dropping much farther. A stalemate